

know that a bear market (in the S&P 500 index) would begin in March 2000, a month after she bought. “I forgot to change the batteries on my crystal ball,” she said.

Nothing along the way worried her about the stock's performance. She viewed the retrace in an uptrend (March and April) when the bear market began as part of the normal stair-step climb that stocks make.

Price pierced another rectangle top in May, suggesting continued strength in the stock, after it broke out upward.

When price peaked at point 1 and dropped to A on high volume, she took notice. “My study of the markets suggested that large price swings on high volume often mean a trend change.” When price made a third lower peak (3), she drew a trendline connecting the two valleys (A and B), forming an up-sloping trendline. The day after price closed below the line, she sold her holdings and received a fill at 34.27. She made 71% on the trade.

The stock continued dropping, reaching a low of 1.02 in early September 2002, for a decline of 97% below where she sold the stock.

“The good news is the cash I made on this trade allowed me to buy a crystal ball that's solar powered. I don't need to replace the batteries anymore.”